Guruswami Aiyar's explanation that he himself had written to Ashe about it did little to convince the governor of any wrongdoing. After much argument, the governor closed the matter with the following words: 'There must be something wrong in this story or there is … some explanation which cannot be given here without information which is not available here at present. If there is a complaint, please bring it forward and we will deal with it. We cannot deal with it now. It hardly affects the question that we are discussing.'[40] The governor even went to the extent of calling the whole matter of Ashe's brazen bullying as 'trifling'.[41]

Finally, after hours of wrangling, the governor categorically said: '… at present I see no reason to think that the Government have erred in their judgment or discretion either as a Government or through their officers on the spot'.[42] Regarding the rivalry between BI and SSNCo, he said, poker-faced, 'we shall always be absolutely impartial'. 'Can it possibly be our desire to see a company in which we know the merchants of Tuticorin and Tinnevelly are directly interested as also the leading and influential landholders of the Presidency … come to grief? Most certainly not.' The governor's words would not have fooled a child.

Following the governor, Gabriel Stokes, the chief secretary, explained away all accusations of bias. Instead, he squarely blamed VOC for all the company's troubles: the company 'not having … severed its connection with Chidambaram Pillai, cannot complain if it is identified with Chidambaram Pillai'.[43] The governor went further:

> I do deplore that a company like the Swadeshi Steam Navigation Company should allow its representative (which Chidambaram Pillai has been and still is to this very hour) to go on day after day preaching pernicious doctrines stirring up class hatred, inciting citizens against the Government … [W]hat steps did the Swadeshi Steam Navigation Company take to deal with this man? … [Y]ou cannot be surprised if your attitude is misunderstood both by the government and the public … It is deplorable that long before the events had taken a turn about the middle of March the Swadeshi Steam Navigation Company did not definitely say to this man: you shall choose one of the two alternatives—either you drop this political agitation or you leave our service.[44]